

# APM Project Management Qualification

Learner Study Pack



# Governance Arrangements

## Introduction

This section of the Learner Study Pack will cover the Governance Arrangements competence of the APM Project Management Qualification.

This section will enable you to gain an understanding of governance arrangements as setting the framework of authority and accountability that defines and controls the outputs, outcomes and benefits from projects, programmes and portfolios.

## Learning objective and outcomes

### Learning objective:

2. Understand governance structures as a framework of authority and accountability for the delivery of a project, which align with organisational practice.

### By the end of this activity, you should be able to:

2a) Knowledge of different types of permanent and temporary organisation structures and their features (including functional, matrix, and project) and know that an organisation's governance approach will inform the approach used for a project.

2b) Understand why there are distinct roles within project management and know the responsibilities of each role (including users, project team members, the project manager, the project steering group/board and the product owner) and understand the differences in responsibilities of the project manager and project sponsor throughout the project.

2c) Understand why aspects of project management governance are required (such as the use of policies, regulations, functions, processes, procedures and delegated responsibilities) and understand the impact of a project's life cycle on its governance framework and the limits of financial authority.

2d) Understand the importance of linking projects to an organisation's objectives.

## Study time

This section of the Learner Study Pack will take approximately 2 - 3 hours to complete.

## Recommended resources

In addition to your Learner Study Pack, use the below references for more information on Governance Arrangements:

- APM Body of Knowledge Seventh edition 1.3.1 (Governance principles)
- APM (2020) The golden rules of governance <https://www.apm.org.uk/blog/the-golden-rules-of-governance/>
- APM Governance, an enabler of project success <https://www.apm.org.uk/resources/what-is-project-management/what-is-governance/>

## Introduction

There are various types of permanent and temporary organisation structures and features, therefore it is crucial to not only understand how they may differ, but also how an organisation's governance approach may be applied to specific projects.

## Permanent versus Temporary Organisational Structures

Permanent structures have stable teams working on routine and/or operational task, as opposed to temporary teams who are brought together to work on specific initiatives and projects.

Characteristics of permanent structures include:

- Stable team environment working on Business As Usual (BAU), or operational, routine tasks that require specific resources.
- In a functional or permanent structure, individuals take instruction from a line manager only and as a result communication method is simple.
- In a functional permanent structure, allocated tasks will match an individual's capability so may be likely to be more repetitive and less varied.

Characteristics of temporary structures include:

- A temporary team who bring different skills to complete a series of specific tasks in a project environment.
- A matrix structure is the most common temporary structure used to manage projects. This allows the balance of authority between the functional line manager and the project manager.
- A matrix structure also provides a mix of skilled resources on a temporary basis to the project, whereas a permanent project structure provides skilled resources permanently on a project.
- In a temporary matrix structure, individuals may take instruction from a line manager and the project manager making communication more complicated.
- Typically, a temporary structure will provide more varied work to allow completion of the project.

## Roles and Responsibilities with Project Management

This table shows the variety of project management roles and their key responsibilities.

| Role                          | Key Responsibilities                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|-------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Project Manager</b>        | <p>Manages the project day to day.</p> <p>Ensures successful delivery of outputs, identifying and managing risks, managing budgets and schedule.</p> <p>Communicates with and updates all project stakeholders.</p> <p>Organises, motivates, and lead the team, ensures knowledge and skills are aligned to assigned roles.</p> <p>Develops the Project Management Plan (PMP), monitors and controls the project progress.</p>                                                                |
| <b>Project Sponsor</b>        | <p>Communicates the vision and sets the high-level expectations, securing funding for the project.</p> <p>Owns and develops the business case during the definition phase, with support of the PM.</p> <p>Identifies the business change and coordinate the justification of this change within the business case.</p> <p>Provides ongoing support to the project manager and overarching governance.</p> <p>Makes decisions on behalf of the business at phase reviews / decision gates.</p> |
| <b>Project Steering Board</b> | <p>Guides the project in line with the strategic aims of the business.</p> <p>Responsible for the project's feasibility, business case and achievement of outcomes.</p> <p>Authorises the business case on behalf of the organisation, sanctioning a release of funds for the project to progress.</p> <p>Decides on any escalated issues from the project manager and support higher-level decision-making.</p>                                                                              |
| <b>Product Owner</b>          | <p>Typically, this role is more common within iterative or hybrid life cycles. Defines scope of work, leads the focus on product development.</p> <p>Acts as the intermediary between stakeholders and project team members.</p> <p>Creates vision and defines goals for the operability of the project's outputs.</p> <p>Accepts incremental delivery, performing a role to accept the function or scope as complete.</p>                                                                    |
| <b>Project Team Members</b>   | <p>Perform project tasks as instructed by the project manager.</p>                                                                                                                                                                                                                                                                                                                                                                                                                            |

|              |                                                                                                                                                                                                                                                                                                                                                                                  |
|--------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|              | <p>Delivers project outputs.</p> <p>Reports on progress of achievement against the project plan.</p> <p>Supports the project manager in completing tasks within the project plan, such as identifying risks, communicating with stakeholders, identifying and reporting changes.</p>                                                                                             |
| <b>Users</b> | <p>Identifying project requirements ensuring objective separation of 'musts' and 'wants'.</p> <p>Participates as a member of the project team, identifying project constraints and dependencies.</p> <p>As subject matter experts, answering any questions the project team might have about the scope of work or the benefits required.</p> <p>Defines acceptance criteria.</p> |

## **Required Aspects of Project Management Governance**

The four aspects of project management governance that will ensure success are:

### **1. Policies**

Policies provide guidelines as to the business expectations of the project as well as outlining the business boundaries.

They can be influential in how the project is conducted and how the project aligns with the organisational culture.

They also ensure the continued governance of the project through control points, e.g. decision gates, audits and evaluation reviews.

### **2. Regulations**

Regulations ensure that the project conforms to specific standards and legal, regulatory, corporate, ethical and professional standards.

### **3. Processes, Procedures and Functions**

It is typical, but also best practice for a set of processes, procedures and standardised functions to be in place for a project team or community before any work begins.

These outline standardised working methods and provide a structured method for the delivery of the project, including principles for managing risk, budget control and lifecycle approach.

They also ensure consistency of practice across the project.

### **4. Delegated Responsibilities**

Having clarity of roles increases efficiency during the project lifecycle by ensuring that all project team members are aware of what is expected of them.

Roles and responsibilities should be clearly defined to ensure transparency and the use of a tool like a Responsibility Assignment Matrix (RAM or RACI) allows stakeholders oversight of these expectations.

## Project Life cycle and Governance

Different project lifecycles can have an impact on their governance framework and the overall limit of financial authority.

### Linear

This sequential lifecycle has clearly defined outputs and is typically applied to low-risk projects with greater structure with clear expectations for each project phase.

Due to its very nature, a linear lifecycle provides maximum control and governance as team members can follow a clear framework with defined requirements.

Communication between team members is simple, as controls and information is passed on to the subsequent phases as milestones are reached and accomplished.

### Iterative

This repetitive lifecycle will repeat one or more project phases and is most beneficial when applied to projects with evolving objectives or solutions. It can also be used in agile development projects and allows for iterative learning.

Greater flexibility is required in governance procedures as the project's scope may be vague or the required solution unclear.

However, adaptations and changes can be made by the Project Manager and their team before the next iteration to incorporate previously observed benefits.

### Hybrid

As the name would suggest, this lifecycle combines both Linear and Iterative to enable a mixed approach.

This flexibility allows the Project Team to choose the most appropriate approaches to best suit the project and set up the governance procedures accordingly.

## Projects and an Organisation's Objectives

Projects, programmes and portfolios are introduced to enhance performance, bring about change and enable organisations to adapt, improve and grow.

Organisational change is introduced through projects, programmes and portfolios to deliver business value.

Delivering strategy is enabled with projects, programmes and portfolios:

- Projects are transient endeavours that bring about change and achieve planned objectives. They are intended to deliver the beneficial change required to implement, enable and satisfy the strategic intent of the organisation.
- Programmes combine business-as-usual with projects and steady state activity dictated by strategic priorities
- Portfolios structure investments in line with strategic objectives, whilst balancing, aligning and scrutinising capacity and resources.

**Scenario One:**

Creating an entirely new workplace from a former stately home for Snappy Appy is going to be the biggest project that you've ever undertaken and as such you feel a combination of nervousness and excitement – this is your chance to really make your mark!

Ayo, the company's Founder/CEO, is concerned that a project of this size and complexity will quickly descend into chaos unless some Governance Structures are put into place. However, they don't like to be constrained by a lot of process and procedure as they feel that this stifles the creativity of the developers and detracts from the culture of collaboration within Snappy Appy.

As the Project Manager, you're looking for help from the rest of the senior leadership team to not only create a structure for the project, but also help communicate its necessity in such a way that will gain Ayo's support as well.

**Given the complexity of this project and its structure, how could a Project Steering Board support the project?**

**Who would you recommend to take the role of Project Sponsor and how could they ensure that governance arrangements are followed?**

**Scenario Two:**

Sandeep, the Head of Development, has heard that you are looking to put into place a Governance Structure for the renovation project and is curious about how it will work?

They are a very detail focused individual and often talk about the fact that “all good coders and developers have an insatiable thirst for knowledge and understanding”.

They also freely admit that in times of stress, they look for this even more – this is the biggest project that Snappy Appy has been involved in since its inception and they want to make sure that they know everything about the way that the project team are going to operate and why.

Sandeep has overheard conversations about the various project life cycles but is unsure about the distinction between them and how they can affect decisions and considerations during the project.

**How would the three different types of project life cycles impact the governance structure of this specific project and why?**

**What additional considerations should be recognised depending on the life cycle chosen for the project?**

**Remembering that Sandeep looks for detailed explanations, ensure that you give them reasons for the impact of the different types of life cycles.**

**Scenario Three:**

Ayo has also been approached by some of the developers that have been with the company since the beginning about the impact that such a big project, and the subsequent growth, will have on the organisation.

Even though the company is growing fast, and everyone is benefitting from the commercial success, these developers are worried that Snappy Appy will lose sight of its 'startup' mentality and become like that huge social media organisation 'VisageNovella' that they think have lost touch with their users.

**How could you reassure Ayo that this project is linked to the organisation's objectives?**

**You may also wish to refer to the 'Benefits Management' competence for additional information.**

## Learning review questions

Before you attempt the exam practice questions in the next section, we recommend you review your learning to quickly see which aspects you don't understand or can't remember as well.

It will also boost your confidence by confirming what you have learnt and your demonstrated ability to apply that knowledge, so that you are ready to practise for the exam.

Here are some questions you may wish to answer to review your learning from the Governance Arrangements section:

- What are the key differences between a project and BAU activities?
- What are the three different types of organisational structures and how are projects managed within each of them?
- What are the benefits of adopting a matrix organisational structure?
- How does a project's lifecycle impact its governance framework?
- How could you overcome the different and often conflicting priorities of a 'functional manager' and a 'project manager'? Which organisational structure would make this kind of conflict less likely?

## Exam practice questions

**2.1** Which two statements are benefits of delivering projects within a matrix organisational structure? (1 mark)

1. The ability to run projects alongside business-as-usual functions.
  2. There is no conflict or ambiguity over reporting requirements.
  3. It is easier to manage complex stakeholder requirements.
  4. Projects can be delivered within a larger programme or portfolio.
  5. Team members are more closely managed to ensure demands are met.
  6. The ability to effectively share knowledge across business areas.
- 
- a. 1 & 2
  - b. 3 & 4
  - c. 2 & 4
  - d. 1 & 6

**2.2** In order to implement effective governance for projects, organisations have to consider a number of areas. One of these areas is policies.

Select the correct statement from the below list (1 mark)

- a. A policy is a deliberate system of principles to guide decisions and achieve desired outcomes.
- b. Policies form a set of rules for the organisation to follow.
- c. Policies are a set of steps taken to achieve a desired outcome.
- d. Policies are an established way of doing something.

**2.3** How does establishing clear governance structures for project delivery contribute to aligning projects with an organisation's objectives? (1 mark)

1. Ensures effective communication channels between project teams and wider stakeholders.
2. Facilitates decision-making processes that prioritise project alignment with organisational goals.
3. Defines roles, responsibilities, and accountability to ensure project activities support organisational objectives.
4. Allow for the project outcomes to be aligned to the organisational strategy at concept and definition stages of the project.
5. Ensures that projects are delivering outputs that effectively meet customer needs.
6. Provides flexibility to adapt project plans and resources based on evolving market conditions

Select the correct combination of three statements:

- a. 1,2,3
- b. 2,3,4
- c. 3,4,6
- d. 4,5,6

**2.4** What is the project manager's responsibility in the following project areas? (5 marks)

- Business Case
- Governance
- Decision Making
- Communication
- Finances

**2.5** A marketing project launches a campaign to promote a new line of fitness trackers. The primary project goals are to:

- Increase brand awareness.
- Generate short term sales revenue.

This is not aligned to the company's organisation objectives, which are to:

- Enhance customer loyalty and build relationships over time.
- Expand market share in a specific demographic.

What are two disadvantages that the project's misalignment to the organisation's objectives may cause and what is one way that this could be resolved?

Your answer should include:

- Two disadvantages and their explanation (4 marks)
- One way this misalignment could be resolved (1 mark)

**2.6** Why would the limits of financial authority be different in a linear life cycle compared to an iterative life cycle?  
(2 marks)

**2.7** Within a matrix organisation structure, the project manager's authority will \_\_\_\_ (a) \_\_\_\_ the functional line manager's authority.

Staff on a project with a matrix organisation structure will be assigned \_\_\_\_ (b) \_\_\_\_ to the project.

(2 marks)

a)

1. Be balanced with
2. Exceed
3. Be less than
4. Replace

b)

1. Permanently
2. Temporarily
3. Last minute
4. Ad hoc

**2.8** When making resourcing decisions for a project, the project sponsor should \_\_\_\_ (a) \_\_\_\_.

The project sponsor is also directly responsible for the completion of the \_\_\_\_ (b) \_\_\_\_.

(2 marks)

a)

1. Defer to the project manager
2. Sign off the approach
3. Delegate to HR
4. Not have any input

(b)

1. Communications Plan.
2. RACI Matrix.
3. Business Case.
4. Risk Register.

## Exam practice answers

| Question        | Answer / Mark Scheme                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |               |                                                                                                                                                                                                                                                                                                          |            |                                                                                                                                                                                                                                                                                                   |                 |                                                                                                                                                                                                                                                                                                                                                                         |               |                                                                                                                                                                                                                                                                  |          |                                                                                                                                                                                       |
|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2.1             | D                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |               |                                                                                                                                                                                                                                                                                                          |            |                                                                                                                                                                                                                                                                                                   |                 |                                                                                                                                                                                                                                                                                                                                                                         |               |                                                                                                                                                                                                                                                                  |          |                                                                                                                                                                                       |
| 2.2             | A                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |               |                                                                                                                                                                                                                                                                                                          |            |                                                                                                                                                                                                                                                                                                   |                 |                                                                                                                                                                                                                                                                                                                                                                         |               |                                                                                                                                                                                                                                                                  |          |                                                                                                                                                                                       |
| 2.3             | B                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |               |                                                                                                                                                                                                                                                                                                          |            |                                                                                                                                                                                                                                                                                                   |                 |                                                                                                                                                                                                                                                                                                                                                                         |               |                                                                                                                                                                                                                                                                  |          |                                                                                                                                                                                       |
| 2.4             | <p>1 mark for each responsibility given, 5 marks available in total. A responsibility for each project area must be given – multiple marks are not available for multiple responsibilities per project area.</p> <p>For example, but not limited to:</p> <table border="1"> <tr> <td>Business case</td><td> <ul style="list-style-type: none"> <li><b>The project manager is responsible for delivery of outputs to achieve the business case benefits once the business case is approved.</b></li> <li>The project manager will consult and support the project sponsor's creation of the business case.</li> </ul> </td></tr> <tr> <td>Governance</td><td> <ul style="list-style-type: none"> <li>The project manager's focus is on the delivery of the project outputs.</li> <li>The project manager plans what needs to be done, then manages the plan.</li> <li>The project manager monitors and controls project activities against the plan.</li> </ul> </td></tr> <tr> <td>Decision making</td><td> <ul style="list-style-type: none"> <li>The project manager provides inputs into the phase reviews / decision gates.</li> <li>The project manager provides information on progress and if the project is on track.</li> <li>The project manager provides information whether the project is on track to deliver the benefits as defined in the business case.</li> </ul> </td></tr> <tr> <td>Communication</td><td> <ul style="list-style-type: none"> <li>The project manager works closely with the project team throughout the project so will communicate the vision to the team.</li> <li>The project manager will communicate progress to the team, and vice versa.</li> </ul> </td></tr> <tr> <td>Finances</td><td> <ul style="list-style-type: none"> <li>The project manager works with the funding provided.</li> <li>The project manager manages and reports on the budget to the sponsor.</li> </ul> </td></tr> </table> | Business case | <ul style="list-style-type: none"> <li><b>The project manager is responsible for delivery of outputs to achieve the business case benefits once the business case is approved.</b></li> <li>The project manager will consult and support the project sponsor's creation of the business case.</li> </ul> | Governance | <ul style="list-style-type: none"> <li>The project manager's focus is on the delivery of the project outputs.</li> <li>The project manager plans what needs to be done, then manages the plan.</li> <li>The project manager monitors and controls project activities against the plan.</li> </ul> | Decision making | <ul style="list-style-type: none"> <li>The project manager provides inputs into the phase reviews / decision gates.</li> <li>The project manager provides information on progress and if the project is on track.</li> <li>The project manager provides information whether the project is on track to deliver the benefits as defined in the business case.</li> </ul> | Communication | <ul style="list-style-type: none"> <li>The project manager works closely with the project team throughout the project so will communicate the vision to the team.</li> <li>The project manager will communicate progress to the team, and vice versa.</li> </ul> | Finances | <ul style="list-style-type: none"> <li>The project manager works with the funding provided.</li> <li>The project manager manages and reports on the budget to the sponsor.</li> </ul> |
| Business case   | <ul style="list-style-type: none"> <li><b>The project manager is responsible for delivery of outputs to achieve the business case benefits once the business case is approved.</b></li> <li>The project manager will consult and support the project sponsor's creation of the business case.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |               |                                                                                                                                                                                                                                                                                                          |            |                                                                                                                                                                                                                                                                                                   |                 |                                                                                                                                                                                                                                                                                                                                                                         |               |                                                                                                                                                                                                                                                                  |          |                                                                                                                                                                                       |
| Governance      | <ul style="list-style-type: none"> <li>The project manager's focus is on the delivery of the project outputs.</li> <li>The project manager plans what needs to be done, then manages the plan.</li> <li>The project manager monitors and controls project activities against the plan.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |               |                                                                                                                                                                                                                                                                                                          |            |                                                                                                                                                                                                                                                                                                   |                 |                                                                                                                                                                                                                                                                                                                                                                         |               |                                                                                                                                                                                                                                                                  |          |                                                                                                                                                                                       |
| Decision making | <ul style="list-style-type: none"> <li>The project manager provides inputs into the phase reviews / decision gates.</li> <li>The project manager provides information on progress and if the project is on track.</li> <li>The project manager provides information whether the project is on track to deliver the benefits as defined in the business case.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |               |                                                                                                                                                                                                                                                                                                          |            |                                                                                                                                                                                                                                                                                                   |                 |                                                                                                                                                                                                                                                                                                                                                                         |               |                                                                                                                                                                                                                                                                  |          |                                                                                                                                                                                       |
| Communication   | <ul style="list-style-type: none"> <li>The project manager works closely with the project team throughout the project so will communicate the vision to the team.</li> <li>The project manager will communicate progress to the team, and vice versa.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |               |                                                                                                                                                                                                                                                                                                          |            |                                                                                                                                                                                                                                                                                                   |                 |                                                                                                                                                                                                                                                                                                                                                                         |               |                                                                                                                                                                                                                                                                  |          |                                                                                                                                                                                       |
| Finances        | <ul style="list-style-type: none"> <li>The project manager works with the funding provided.</li> <li>The project manager manages and reports on the budget to the sponsor.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |               |                                                                                                                                                                                                                                                                                                          |            |                                                                                                                                                                                                                                                                                                   |                 |                                                                                                                                                                                                                                                                                                                                                                         |               |                                                                                                                                                                                                                                                                  |          |                                                                                                                                                                                       |
| 2.5             | <p>2 marks per disadvantage identified and described (up to a maximum of 4 marks available). For example, but not limited to:</p> <ul style="list-style-type: none"> <li><b>Lack of Strategic Alignment:</b> The marketing campaign fails to address the organisation's strategic priorities, such as enhancing customer loyalty, expanding market share in specific demographics, or promoting long-term brand reputation. As a result, the campaign's impact on overall business objectives is limited.</li> <li><b>Misallocation of Resources:</b> Resources, including budget, time, and personnel, are allocated to the marketing campaign without a clear understanding of its strategic relevance. This misallocation of resources detracts from other initiatives that may have a more significant impact on achieving long-term strategic goals.</li> <li><b>Ineffective Performance Measurement:</b> Without clear strategic objectives, it becomes challenging to measure the effectiveness and success of the marketing campaign accurately. Key performance indicators (KPIs) may be</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |               |                                                                                                                                                                                                                                                                                                          |            |                                                                                                                                                                                                                                                                                                   |                 |                                                                                                                                                                                                                                                                                                                                                                         |               |                                                                                                                                                                                                                                                                  |          |                                                                                                                                                                                       |

|            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|            | <p>limited to short-term metrics such as website traffic or sales conversions, failing to capture broader indicators of brand engagement and customer satisfaction.</p> <ul style="list-style-type: none"> <li>• <b>Lost Opportunities for Synergy:</b> A marketing campaign that is not linked to strategic objectives misses opportunities for synergy and alignment with other organisational functions and initiatives. For example, the campaign may overlook potential partnerships with fitness influencers, cross-promotion with complementary products, or integration with customer loyalty programs.</li> <li>• <b>Risk of Reputation Damage:</b> In some cases, a marketing campaign that lacks strategic alignment may inadvertently damage the organisation's reputation or brand image. Messaging inconsistencies, tone-deaf content, or misaligned brand values can alienate customers and erode trust, undermining long-term brand equity and market positioning.</li> </ul> <p>1 mark for stating a way to resolve an impact, for example, but not limited to:</p> <ul style="list-style-type: none"> <li>• Conduct a strategic review to identify key business priorities, target market segments, and long-term growth opportunities.</li> <li>• Align the marketing campaign's objectives, messaging, and tactics with the organisation's strategic goals, emphasising brand differentiation, customer engagement, and sustainable competitive advantage.</li> <li>• Establish clear performance metrics and KPIs that measure the campaign's impact on broader business outcomes, such as brand loyalty, customer retention, and market share.</li> <li>• Foster collaboration and communication across departments to ensure that marketing initiatives are integrated with broader organisational strategies and initiatives.</li> </ul> |
| <b>2.6</b> | <p>1 mark for identifying why linear and iterative life cycles have different limits of financial authority:</p> <p>The limits of the financial authority differ because – any of the below to be mentioned:</p> <ul style="list-style-type: none"> <li>• Linear is more fixed and iterative is more flexible.</li> <li>• Linear is predetermined and iterative is evolving.</li> <li>• Linear is less open to change and iterative is more open to change.</li> </ul> <p>1 mark for explaining how the above impacts the limits of financial authority:</p> <ul style="list-style-type: none"> <li>• Linear can have detailed / pre-determined / stricter financial limits whilst iterative requires more dynamic limits.</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>2.7</b> | <p>(a) 1<br/>(b) 2</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>2.8</b> | <p>(a) 2<br/>(b) 3</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |